that covers a broad spectrum of services broken down into four different buckets: consulting, systems integration, IT outsourcing, and business process outsourcing. The first two, combined, contribute 52 percent of IBM's revenues; 32 percent comes from IT outsourcing; and 16 percent from business process outsourcing. In the consulting and systems integration space, IBM is the number-one global provider—38 percent bigger than the next competitor, Accenture. In the IT outsourcing space, IBM is also the number-one global provider—78 percent larger than the next competitor, Hewlett-Packard. In business process outsourcing, IBM is the seventh-largest provider, behind Teleperformance, Atento, Convergys, Sitel, Aegis, and Genpact.

Information technology services are considered to be a growth-defensive industry within the technology sector. Whereas technology sectors like hardware and semiconductors are more cyclical in nature, the services sector benefits from relatively stable growth prospects. The IT industry is more resilient because its revenues are both recurring and tied to the nondiscretionary budgets of larger corporations and governments. So important are IT services that consulting, systems integration, and IT outsourcing are thought to have "moatlike" qualities. According to Grady Burkett, associate director of technology at Morningstar, the intangible assets like reputation, track record, and client relationships are the sources of a moat in consulting and systems integration. In IT outsourcing, switching costs and scale advantages create their own moat, ensuring that once IBM lands a customer, that customer is likely to remain a loyal client for many years to come. Only one area, the relatively small business process outsourcing, is not protected by either the intangible assets or the cost of switching.

According to Gartner, the world's leading information technology research and advisory company, the total market for IT services is expected to grow at a compounded annual rate of 4.6 percent, from an estimated $844 billion in 2011 to $1.05 trillion in 2016.

Tenets: Profit Margins; Return on Equity; One-Dollar Premise